

Ch 4: Globalisation and the Indian Economy

Question Bank | 2M | 3M | 5M

SECTION A - 2 MARKS

- Q1. What is globalisation? Give one example. (PYQ 2023)**
- Q2. What is an MNC? Give two examples of MNCs operating in India. (PYQ 2023)**
- Q3. How does an MNC control production in another country without setting up its own factory?**
- Q4. What is foreign trade? How does it help in integrating markets across countries?**
- Q5. What is foreign investment? Name two types of foreign investment.**
- Q6. What is liberalisation? Name two measures of liberalisation introduced in India since 1991. (PYQ 2022)**
- Q7. What is the WTO? When was it established and how many members does it have? (PYQ 2022)**
- Q8. What is a trade barrier? Give one example of a trade barrier removed by India since 1991.**

Q9. What is import duty? Why do governments impose it?

**Q10. How has information technology promoted globalisation?
Give two points. (PYQ 2023)**

**Q11. Name any two Indian companies that have become MNCs.
What sectors do they operate in?**

Q12. What is meant by 'outsourcing'? Give one example. (PYQ)

**Q13. What is a Special Economic Zone? What benefits are
offered to companies in SEZs?**

Q14. What is fair globalisation? What does it aim to ensure?

**Q15. Name any two sectors in India where MNCs have made
large investments.**

**Q16. What is meant by 'competition' in the context of
globalisation? How does it affect Indian producers?**

**Q17. Name two ways in which MNCs spread their production
across countries.**

**Q18. What are the two policy changes India made in 1991 that
accelerated globalisation?**

**Q19. How has globalisation benefited Indian consumers? Give
two points. (PYQ 2023 Compartment)**

**Q20. Name two sectors in India that have been harmed by
globalisation.**

Q21. What is meant by 'tax holiday'? How does it attract MNCs to India?

Q22. What is the role of the WTO in ensuring fair trade between nations? Give two points.

Q23. Why do MNCs set up production in countries like India? Give two reasons.

Q24. What are the transformations observed in India's trade since 1991? Name two. (PYQ 2024)

Q25. What is meant by 'joint venture'? Give one example of an MNC joining with an Indian company.

Q26. Name two Indian IT companies that serve foreign clients. What is the nature of their services?

Q27. Examine the factors that have enabled globalisation in India. Name any two. (PYQ 2024)

Q28. What is meant by 'flexible production'? How has it helped MNCs spread globally?

Q29. What were the restrictions on foreign trade that existed in India before 1991?

Q30. Why do developing countries like India face unfair competition from developed countries in global markets? Give two points.

Q31. Name two ways in which the government can ensure that globalisation is fair for all sections of society.

SECTION B - 3 MARKS

- Q1. Explain any three ways in which MNCs control production in other countries. (PYQ 2024 — High Probability)**
- Q2. Examine the transformations observed in India's trade since 1991. (PYQ 2024)**
- Q3. Examine the factors that have enabled globalisation in India. (PYQ 2024)**
- Q4. How is information technology connected with globalisation? Explain three points. (PYQ 2023)**
- Q5. Explain the role of WTO in globalisation. (PYQ 2022)**
- Q6. What is liberalisation? Describe the Indian government's approach towards liberalisation since 1991. (PYQ 2022)**
- Q7. How has globalisation affected consumers in India? Explain with examples. (PYQ 2023 Compartment)**
- Q8. Explain the positive impact of globalisation on Indian producers and industries. Give three examples.**
- Q9. Explain the negative impact of globalisation on small Indian producers and workers. Give three examples.**

Q10. Explain three ways in which foreign trade leads to integration of markets across countries.

Q11. Explain three factors that have enabled the spread of MNCs across the world.

Q12. Why do MNCs prefer to set up production in developing countries like India and China? Explain three reasons.

Q13. Explain how Special Economic Zones have helped attract foreign investment to India. Give three points.

Q14. Explain how competition from MNCs has both helped and harmed Indian companies. Give examples from the textile and automobile sectors.

Q15. Explain the concept of fair globalisation. Who should be responsible for ensuring it? Give three measures.

Q16. How has globalisation created new opportunities for skilled workers in India? Give three examples from IT, banking, and services.

Q17. Explain how the removal of trade barriers since 1991 has changed India's import and export pattern. Give three points.

Q18. Explain three ways in which MNCs have linked the production process across countries to reduce costs.

Q19. Explain how globalisation has led to the growth of Indian MNCs like Tata Motors, Infosys, and Ranbaxy. Give three points.

Q20. What are the arguments in favour of globalisation? Explain three supporting points.

Q21. What are the arguments against globalisation? Explain three opposing points.

Q22. Explain how farmers in India have been affected by globalisation. Give three positive and negative effects.

Q23. Explain three ways in which the Indian government has tried to attract foreign direct investment.

Q24. Explain the role of foreign trade in enabling countries to specialise in goods they produce most efficiently. Give three examples.

Q25. How has technology transformed the way MNCs organise their production globally? Explain three specific technological developments.

Q26. Explain the concept of outsourcing. How has it benefited India? Give three examples.

Q27. Describe three major changes brought about in the Indian economy after the introduction of LPG reforms in 1991.

Q28. Explain three reasons why developing countries argue that the WTO's rules are unfair and favour rich nations.

Q29. How have Indian workers in the unorganised sector been negatively affected by globalisation? Give three points.

Q30. Explain how globalisation has changed consumption patterns and lifestyle of Indians over the past three decades. Give three examples.

Q31. Describe the role of transport and communication in enabling globalisation. Give three specific examples.

Q32. How has the growth of the internet and e-commerce changed the nature of trade and investment in India? Give three points.

Q33. Explain three ways in which the Indian government can protect its domestic industries from unfair foreign competition.

Q34. Explain the significance of the year 1991 in India's economic history. What changes were introduced and why?

Q35. How has globalisation enabled some countries to grow faster while leaving others behind? Explain with three examples.

Q36. Explain how MNCs have changed the nature of employment in India — both positively by creating jobs and negatively by displacing workers.

Q37. Explain three ways in which globalisation has affected the manufacturing sector in India — particularly textiles, automobiles, and electronics.

Q38. Describe how Indian companies like Infosys and Wipro have become global players. What role did globalisation play in their growth?

Q39. Explain how globalisation has affected India's agriculture sector. What challenges have farmers faced due to competition from imported agricultural products?

Q40. Describe any three impacts of globalisation on the Indian textile industry — both positive for exporters and negative for handloom weavers.

Q41. Explain the role of cheap labour as a factor that attracts MNCs to India. Why is this considered both an opportunity and a problem?

Q42. Explain any three reasons why some people oppose globalisation. What alternatives do they suggest?

SECTION C - 5 MARKS

Q1. Examine the transformations observed in India's trade and investment since 1991 due to globalisation. (PYQ 2024)

Q2. Examine the factors that have enabled globalisation in India. Explain five key factors. (PYQ 2024)

Q3. How has information technology promoted globalisation? Explain with five examples. (PYQ 2023)

Q4. Justify the role of Self Help Groups in the rural economy. (PYQ 2023)

Q5. Explain the role of MNCs in the process of globalisation. How do they benefit from spreading production across countries? Give five points. (PYQ — frequently repeated)

Q6. Explain the impact of globalisation on Indian economy — both positive and negative — with five examples each. (PYQ — most important)

Q7. "Globalisation has benefited some sections of the Indian population while harming others." Justify with five points covering producers, workers, consumers, and farmers.

Q8. What is liberalisation? Explain how the removal of trade barriers and opening of the economy since 1991 has transformed India's economy. Give five specific changes. (PYQ 2022)

Q9. Explain the role of the WTO in globalisation. Why do developing countries feel that WTO rules are unfair? Give five points. (PYQ 2022)

Q10. What is fair globalisation? What measures can the government, international organisations, and MNCs take to ensure it? Explain five measures.

Q11. Explain how foreign trade leads to the integration of markets across different countries. Give five examples showing how prices, products, and choices have changed.

Q12. "Rapid integration of countries into the world economy is not always beneficial." Critically analyse this statement with five arguments.

Q13. Describe how MNCs set up production, control supply chains, and influence prices in host countries. Give five specific examples from India.

Q14. Explain how Special Economic Zones have contributed to India's integration with the global economy. What are their advantages and disadvantages?

Q15. Compare the impact of globalisation on organised large industries and unorganised small producers in India. How has each sector been affected differently?

Q16. Explain the concept of globalisation. Trace how the process of globalisation has developed over the past century, with special reference to India since 1991.

Q17. How has the information technology revolution transformed the Indian economy? Explain with reference to IT exports, BPO services, e-commerce, and digital payments.

Q18. Describe the impact of globalisation on Indian agriculture. How have farmers been affected by changes in input prices, output prices, and competition from imports?

Q19. Explain the positive impact of globalisation on India — consumer choice, employment in services, growth of Indian MNCs, technology transfer, and GDP growth.

Q20. Explain the negative impact of globalisation on India — job losses in small industries, exploitation of cheap labour, displacement of handloom weavers, unfair competition, and rising inequality.

Q21. Describe the changes that took place in India's economy after the LPG reforms of 1991. How did these reforms accelerate globalisation? Give five specific examples.

Q22. "India has both gained and lost from globalisation." Present a balanced analysis with five points each for gains and losses across different sectors.

Q23. Explain how the growth of transport and communication technology has made it possible for MNCs to organise production across multiple countries. Give five specific examples.

Q24. Explain the role of the government in ensuring that globalisation is fair and beneficial for all sections of Indian society. Give five specific policy measures.

Q25. How have Indian companies like Tata Motors, Infosys, Wipro, and Ranbaxy become global players? What does this tell us about the impact of globalisation on Indian business? (PYQ)

Q26. Describe the working of a global supply chain by taking the example of an MNC like Samsung or Ford. How are different stages of production spread across countries to minimise costs?